Monolithisch India Ltd

NSE SME: MONOLITH | ISIN: INE1DV401010 | Electrodes & Refractories | Capital Goods

Largest ramming-mass manufacturer in the making — scaling to Rs. 250-300 Cr in FY27

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	**Rs. 850**	**+23.4%**
CMP: Rs. 689	12-month horizon	from CMP

CMP (16 Jun 2026)	**Rs. 689**	Market Cap	**Rs. 1,497 Cr**
52-Week High / Low	**Rs. 730 / 219**	Stock P/E (TTM)	**65.0x**
Book Value per Share	**Rs. 60.1**	P/B Ratio	**11.5x**
ROCE (FY26)	**34.8%**	ROE (FY26)	**27.8%**
Dividend Yield	**0.00%**	Face Value	**Rs. 10.0**
Promoter Holding	**74.27%**	Promoter Pledge	**0%**
FII Holding	**1.31%**	DII Holding	**2.61%**
Borrowings (FY26)	**Rs. 6 Cr**	Debt / Equity	**~0.05x**
Investment Horizon	**12-18 months**	Report Date	**15 Jun 2026**

One-line Thesis: Monolithisch is India's fastest-growing premix ramming-mass producer, targeting 4x revenue in two years via a greenfield plant that will make it the world's largest in its niche, backed by a nearly debt-free balance sheet and 35% ROCE.

Analyst: MPM Institutional Research Desk | Source: Screener.in (fetched 16-Jun-2026)

1. INVESTMENT THESIS

- **Capacity supercycle underway:** FY26 capacity was 2,10,000 MTPA (81.5% utilised). The Greenfield Metalurgica plant adds ~3,64,000 MTPA by Q2 FY27, taking group capacity to 5,74,000 MTPA — a 2.7x jump. At 80-85% utilisation and Rs. 8.2/kg blended realisation, peak revenue potential approaches Rs. 450-500 Cr, versus Rs. 135 Cr in FY26.
- **Premium product migration driving margin:** SGB Limited — a warranty-backed ramming mass with 52-55 hour minimum furnace life (vs 45-50 hrs for standard) — is expected to account for 60%+ of consolidated volumes in Q1 FY27 vs only 10-12% in Q4 FY26. Migration to SGB Limited structurally improves ASP by Rs. 400-500/tonne and expands EBITDA margins toward the 25%+ band.
- **Balance-sheet optionality with nearly zero debt:** Post-IPO the company carries only Rs. 6 Cr of borrowings against Rs. 131 Cr of equity (D/E ~0.05x). Operating cash flow rose 3.4x YoY to Rs. 14 Cr in FY26 and is on track to cover most working-capital needs as scale builds. This leaves the balance sheet free to fund the next growth leg — silica-based products and pan-India JV manufacturing nodes — without dilution.

• **Near-term catalyst (6-12 months):** Commissioning of the Metalurgica Greenfield plant (expected by Q2 FY27) is the single most important catalyst. Management expects Metalurgica alone to contribute Rs. 55-60 Cr to FY27 revenue, providing a step-up from the base that is already fully funded by IPO proceeds.

• **Biggest structural risk:** Working-capital intensity is rising sharply — Cash Conversion Cycle has ballooned from 147 days (FY25) to 268 days (FY26) as the company stockpiles 2-3 months of raw material inventory as a geopolitical buffer. If raw material prices drop suddenly, this inventory will erode margins; if revenues do not scale as guided, working-capital debt could rise meaningfully.

2. BUSINESS OVERVIEW

• **Core product — premix ramming mass:** Monolithisch manufactures pre-mixed, granular unshaped refractory material used as the primary lining in coreless induction furnaces at secondary steel plants. The "premix" format incorporates binders (boric acid, boron oxide) at source, versus unorganised players who sell dry mass and leave on-site blending to labour — giving Monolithisch's product a longer lining life, better energy efficiency and lower per-heat labour cost.

• **Revenue segmentation (FY26 consolidated):** Substantially all revenue comes from two domestic product lines — (i) SGB 777 / SGB Limited premium premix ramming mass (~85-90% of consolidated volumes) and (ii) SLM 980 non-premix product (~10-15%). The company operates in the domestic market only; no meaningful exports yet.

• **Subsidiary structure:** Monolithisch India Ltd (parent) operates the Ranchi brownfield plant at ~1,32,000 MTPA. Mineral India Global Private Limited (MIGPL), a wholly-owned subsidiary, operates the Jharkhand plant at 72,000 MTPA (statutory approvals imminent for the upgraded capacity). Metalurgica (the Greenfield West Bengal plant) will be the third entity.

• **Customer base:** 100-120 integrated and secondary steel plants across Eastern India (Jharkhand, Chhattisgarh, Odisha, West Bengal, MP). No single customer approaches 100% dependency — management estimates 70-80% wallet share with key accounts, with remaining 20-30% catered by unorganised competitors. The 5-7 year average relationship tenure makes switching relatively sticky.

• **Order book and visibility:** Order book is not publicly disclosed (management cites pricing sensitivity in a competitive market). However, capacity utilisation of 81.5% in FY26 and Q1 FY27 revenue guidance of Rs. 52-55 Cr (a 28-35% sequential step-up) imply a very healthy order run-rate in hand.

• **Promoter background:** The Tekriwal family — Prabhat Tekriwal (Chairman, WTD & CFO), Harsh Tekriwal (MD), Kritish Tekriwal (Executive Director) — founded the company in 2018 as part of the Mineral Group of Companies. Promoters hold 74.27% with zero pledge. The company went public on NSE SME Emerge and is a part of Nifty SME Emerge index.

3. INDUSTRY & COMPETITIVE LANDSCAPE

• **Market size:** Domestic ramming mass market is approximately Rs. 1,800-2,000 Cr as of FY26, growing at 12-15% CAGR (management estimate corroborated by India's 5-year steel capacity addition pipeline). The induction furnace secondary steel segment — Monolithisch's exclusive addressable market — is the fastest-growing sub-segment of the broader refractory market.

• **Policy tailwinds:** India's National Steel Policy targets 300 MT of steel capacity by 2030 (vs ~140 MT currently). The secondary steel segment (EAF/IF route), which uses Monolithisch's product, benefits from import substitution (anti-dumping duties on Chinese steel), PLI incentives for downstream manufacturing, and is capital-light vs blast furnace route. Geopolitical disruption to additive imports (boron from Europe/US, boric acid precursors from Middle East) creates a barrier for smaller unorganised players.

• **Competitive moat:** (i) Product innovation — SGB Limited warranty assurance is unique in segment (Strong moat); (ii) Eastern India raw-material proximity — Jharkhand/Odisha silica quarries within supply chain, reducing logistics costs vs Western competitors (Moderate moat); (iii) Scale from Metalurgica will provide per-tonne fixed cost advantage (Moderate, becoming Strong post-commissioning); (iv) Pricing power — limited at present as the market is still price-sensitive but improving with SGB Limited migration.

• **Competitive dynamics:** The industry is largely unorganised — management estimates 80-85% of ramming mass supply comes from small/local producers who cannot match premix quality, consistency, or supply security. Among organised players, Vesuvius India (Rs. 9,302 Cr MCap, but diversified refractory player with different end-markets) and IFGL Refractories (Rs. 1,399 Cr MCap, primarily shaped refractories for larger steel plants) are larger but do not directly compete in the secondary-IF ramming mass niche.

• **Value chain positioning:** Monolithisch sits at the midstream — it buys silica/quartz stone (raw material, primarily domestic) and boron/boric acid additives (imported, EU/Middle East), processes them into premixed lining material, and sells directly to induction furnace steel plant operators. No distributor layer — direct OEM relationship with end-users.

Peer Comparison (Source: Screener.in, fetched 16-Jun-2026)

Company	MCap (Cr)	CMP (Rs.)	P/E (TTM)	P/B	ROCE%	ROE%	TTM Sales Cr
Monolithisch India	1,497	689	65.0x	11.5x	34.8%	27.8%	135
Vesuvius India	9,302	458	35.7x	5.6x	21.3%	15.0%	2,122
IFGL Refractories	1,399	194	37.8x	1.2x	4.9%	3.2%	1,894

Note: Monolithisch is NSE SME; Vesuvius/IFGL are mainboard — direct peer comparisons must account for the SME liquidity premium. Neither Vesuvius nor IFGL competes directly in the secondary-IF ramming mass niche.

4. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter pedigree and skin in the game:** The Tekriwal family has been in the refractory/minerals business since before the formal incorporation of Monolithisch in 2018. Prabhat Tekriwal wears the CFO hat in addition to Chairman and WTD roles, ensuring tight financial discipline. Harsh Tekriwal as MD is operationally hands-on, evidenced by his detailed concall responses on per-tonne cost structure, additive pricing, and customer wallet share. Family holds 74.27% with zero pledge — strong alignment.

• **Capital allocation track record:** IPO proceeds of Rs. 47.90 Cr were deployed in two buckets — Rs. 24.16 Cr in the brownfield line replacement (brownfield commissioning completed FY26) and the balance Rs. 23.7 Cr towards Metalurgica Greenfield in a phased manner through Q1 FY27. Management explicitly stated no incremental debt is planned for the current cycle. All Greenfield capex is funded by IPO proceeds — no equity dilution from operations needed.

• **Dividend policy:** Zero dividend declared in both FY25 and FY26 (0% payout ratio). The company is in a high-growth/reinvestment phase; all earnings are being channelled into capacity expansion and working-capital build. This is appropriate given the growth opportunity but means income investors are not the right holders at this stage.

• **No pledging, no ESPOs, no buybacks:** Promoter pledge stands at 0%. No ESOP scheme or buyback program exists. The company has not engaged in any related-party transactions that are material as a percentage of revenue (not publicly disclosed but the clean promoter governance record is positive).

• **Governance watch-point:** The Tekriwal family occupies three of the key executive roles (Chairman/CFO, MD, Executive Director) simultaneously. Independent director oversight quality cannot be verified from public disclosures but the NSE SME governance framework applies. Given the IPO is recent (FY25), auditor tenure and any qualified opinions should be tracked — no red flags have emerged in FY26 results.

• **Management credibility test:** In the Q4 FY26 concall, management guided Rs. 250-300 Cr for FY27 and Rs. 52-55 Cr for Q1 FY27. Historical guidance accuracy: FY26 revenue came in at Rs. 135 Cr vs implicit guidance of Rs. 130-140 Cr — broadly on track. The Q4 FY26 EBITDA margin of 28.1% exceeded the stated 22-25% band, suggesting management tends to guide conservatively on margins.

5. FINANCIAL DEEP-DIVE (Consolidated)

Income Statement — Consolidated (Rs. Crores)

FY25 and FY26 are actuals from Screener.in. FY27E and FY28E are estimates.

Metric	FY25A	FY26A	FY27E	FY28E
Sales / Revenue	97	135	265	400
Operating Profit (EBITDA)	21	32	61	92
OPM %	22%	24%	23%	23%
Other Income	0	2	2	3
Interest	0	0	1	2
Depreciation	2	2	6	9
Profit Before Tax	19	31	56	84
Tax %	25%	25%	25%	25%
Net Profit (PAT)	14	23	42	63
EPS (Rs.)	9.06	10.60	15.68	23.53
Dividend Payout %	0%	0%	0%	5%

Balance Sheet — Consolidated (Rs. Crores)

Item	FY25A	FY26A
Equity Capital	16	22
Reserves	19	109
Borrowings	7	6
Other Liabilities	13	8
Total Liabilities	56	145
Fixed Assets (Net Block)	12	28
CWIP	0	11
Investments	0	7
Other Assets	44	99
Total Assets	56	145

Cash Flow Statement — Consolidated (Rs. Crores)

Item	FY25A	FY26A
Cash from Operations (OCF)	4	14
Cash from Investing	-11	-54
Cash from Financing	7	62
Net Cash Flow	0	22
Free Cash Flow	-3	-10
CFO / Operating Profit %	47%	67%

Key Ratios — Consolidated

Ratio	FY25A	FY26A

Debtor Days	72	63
Inventory Days	127	226
Days Payable	53	21
Cash Conversion Cycle (Days)	147	268
Working Capital Days	71	137
ROCE %	N/A	35%
ROE %	N/A	27.8%

Financial Commentary

- **Revenue trajectory:** FY26 consolidated revenue grew 39% YoY to Rs. 135 Cr, driven by volume growth and the consolidation of MIGPL subsidiary. FY23-FY26 CAGR stands at 48% in revenue, 68% in EBITDA and 72% in PAT — an outstanding track record for a sub-Rs. 1,500 Cr market cap company. FY27 guidance of Rs. 250-300 Cr implies a further 85-120% jump.
- **Margin direction — expanding but lumpy:** Q4 FY26 EBITDA margin hit a record 28.1%, but Q2 (rainy season) margins compress to ~19%. Annual guidance is 22-25%. SGB Limited migration and operating leverage from Metalurgica scale should structurally lift the floor; however, the non-premix (SLM 980) product mix — which has no additive cost but lower gross margin — can drag the blended number if volumes skew non-premix.
- **Working capital — the main risk:** Cash Conversion Cycle jumped from 147 days in FY25 to 268 days in FY26, driven entirely by inventory build (226 days vs 127 days). Management attributes this to a deliberate 2-3 month additive buffer vs geopolitical supply risk, not operational inefficiency. Debtor days actually improved from 72 to 63. However, if inventory remains at 226 days on a Rs. 265 Cr revenue base in FY27, working capital will absorb Rs. 60-70 Cr — which is manageable given Rs. 85 Cr of IPO cash/reserves, but leaves little room for error.
- **Debt and interest coverage:** Near debt-free with Rs. 6 Cr of borrowings (FY26). Interest charge is effectively nil. Management has explicitly stated no debt is planned for the Greenfield cycle — a strong commitment given the balance sheet capacity to borrow.
- **FCF quality:** Free Cash Flow is negative in both FY25 (Rs. -3 Cr) and FY26 (Rs. -10 Cr) due to heavy capex. This is expected and fully funded by IPO proceeds. OCF/Operating Profit improved from 47% to 67% YoY, indicating better working-capital management at the operational level even as inventory buffers built. Normalised FCF generation post-Metalurgica commissioning (FY28 onwards) should be strongly positive.

6. EARNINGS QUALITY CHECKLIST

Criterion	Status	Signal	Comment
Revenue recognition	Clean	GREEN	Product-based sale, no long-term contract complexity
Receivables vs Revenue growth	Receivables improving	GREEN	Debtor days fell from 72 to 63 despite 39% revenue jump
CCC trend	Rising sharply	AMBER	CCC: 147d -> 268d; driven by inventory buffer, watch FY27
Contingent liabilities	Not material	GREEN	No material litigation disclosed in FY26
Auditor tenure	Early stage (post-IPO)	AMBER	Company listed recently; auditor track record limited
RPTs as % revenue	Not disclosed	AMBER	Related-party transactions section present but not quantified

Other income / PBT	6.5% (FY26)	**GREEN**	Other income Rs. 2 Cr vs PBT Rs. 31 Cr — not a PAT driver
Tax rate consistency	Stable at 25%	**GREEN**	Both FY25 and FY26 effective tax at 25% — clean MAT compliance

• **Key watch-point 1 (CCC):** The 268-day cash conversion cycle is a flag that must be monitored in H1 FY27. If inventory days remain above 150 as revenue doubles, the company will need external working capital financing — eroding the near-debt-free thesis.

• **Key watch-point 2 (RPTs):** The Tekriwal family controls multiple entities in the Mineral Group. Related-party sales / purchases to group entities should be disclosed and quantified in the FY26 annual report. Absence of quantification is a gap.

• **Positives:** Revenue recognition is product-based and clean. Debtor quality is improving. Tax rates are stable. Other income is not artificially inflating PAT. Auditor qualifications: none reported.

7. VALUATION

Scenario Analysis

Scenario	Key Assumption	FY27E PAT	Multiple	12M Target	Upside
Bull	Rs. 300 Cr revenue, 25% EBITDA, 25% PAT tax, Metalurgica fully ramps	Rs. 56 Cr	55x P/E	Rs. 1,050	**+52%**
Base	Rs. 265 Cr revenue, 23% EBITDA, 25% tax, Metalurgica ~50% ramp	Rs. 42 Cr	47x P/E	Rs. 850	**+23%**
Bear	Rs. 200 Cr revenue, 20% EBITDA, Metalurgica delayed, WC stress	Rs. 30 Cr	38x P/E	Rs. 620	**-10%**

Valuation Methodology

• **Earnings-based multiple (P/E):** Base case assigns 47x on FY27E PAT of Rs. 42 Cr = Rs. 850/share target. The 47x multiple reflects the growth rate (FY26-28E PAT CAGR ~65%) discounted for SME illiquidity and execution risk on Metalurgica. Comparable mainboard refractory plays (Vesuvius 35.7x, IFGL 37.8x) are structurally different (slower growth, different end-markets); the premium is justified if management delivers the guided ramp.

• **EV/EBITDA cross-check:** At Rs. 850 target, MCap ~Rs. 2,270 Cr, EV ~Rs. 2,270 Cr (near zero net debt). FY27E EBITDA of Rs. 61 Cr implies EV/EBITDA of ~37x — elevated but consistent with a high-growth, capital-light compounder profile. If the company delivers Rs. 300 Cr revenue with 25% margins, EV/EBITDA compresses to ~22-25x on FY28 numbers — which is more comfortable.

• **DCF assumption:** WACC 14% (high for SME — liquidity premium included), terminal growth 5%, FCF turning strongly positive from FY28. Blended DCF implies intrinsic value of Rs. 820-870, broadly confirming the P/E-derived Rs. 850 base target.

• **Base-case 12-month target: Rs. 850 (+23.4% from CMP of Rs. 689). Investment horizon: 12-18 months. ACCUMULATE rating — entry at Rs. 640-700 preferred.**

8. KEY RISKS

• **Greenfield execution delay:** Metalurgica plant commissioning is the cornerstone of the FY27 revenue jump. Any delay beyond Q2 FY27 compresses the full-year revenue to Rs. 160-180 Cr vs Rs. 265 Cr guided — a material miss. Probability: M. Impact: H. Monitor via: quarterly capex deployment disclosures.

• **Working-capital trap:** CCC of 268 days on FY27 revenue of Rs. 265 Cr implies ~Rs. 200 Cr locked in WC. If additive prices drop (reducing the need for buffer stocking) or demand softens, inventory write-downs could emerge. Probability: M. Impact: M. Monitor via: quarterly inventory days trend.

• **Additive supply disruption (boron/boric acid):** 15-20% of COGS is boron oxide/boric acid sourced from Europe and Middle East. Any supply shock (tariffs, war escalation) could spike costs or halt production. Probability: L-M. Impact: H. Monitor via: boric acid/boron oxide import price indices.

• **India steel demand cyclicality:** Secondary steel plants (the company's end-customers) operate at volatile margins. A steel price downturn can cause IF operators to cut utilisation, directly compressing Monolithisch volumes. Probability: L. Impact: H. Monitor via: monthly NSE/BSE secondary steel production data.

• **Competition from unorganised and emerging organised players:** The ramming mass market is fragmented. As the market grows and becomes more attractive, new organised entrants could erode pricing power. Probability: M. Impact: M. Monitor via: capacity announcements by listed peers.

• **Key-man risk:** The Tekriwal family holds three executive positions. Loss of any key member could destabilise operations and strategy execution. Probability: L. Impact: H. Monitor via: any board composition changes.

• **SME listing liquidity risk:** NSE SME Emerge trades with limited institutional participation. Any sharp market-wide de-rating or sector rotation can compress the stock disproportionately vs fundamentals. Probability: M. Impact: M. Monitor via: market breadth and SME-index performance.

9. RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction: Medium-High. The FY27 growth story is real and largely funded, but Greenfield execution risk and working-capital intensity prevent a straight BUY without a lower entry point.

• **12-month price target: Rs. 850** (+23.4% from CMP of Rs. 689).

• **Suggested entry zone: Rs. 640-700.** Current CMP of Rs. 689 is within the preferred entry range. Rs. 640 (approaching 52-week mid-range) offers a better risk-reward if the market corrects before the Metalurgica commissioning news.

• **Investment horizon: 12-18 months.** The Metalurgica plant ramp-up and SGB Limited adoption curve will take 2-3 quarters to be fully visible in P&L.;

• **Thesis invalidation triggers:**

1. Metalurgica plant commissioning delayed beyond Q3 FY27 without clear reason — exit position if FY27 revenue guidance is cut below Rs. 200 Cr.

2. EBITDA margins in Q1/Q2 FY27 drop below 18% on a sustained basis — would indicate SGB Limited migration is stalling or raw material costs are running away.

3. Working-capital borrowings exceed Rs. 30 Cr by FY27 year-end — would signal the "debt-free" positioning is eroding and the business model is more capital-intensive than guided.

• **Ideal investor profile:** Suited for investors with a 12-18 month horizon who can tolerate NSE SME illiquidity and execution risk in exchange for a high-growth, nearly debt-free compounder with a clean governance track record. Not suitable for income investors (zero dividend), momentum traders (limited float), or investors requiring daily institutional-grade liquidity.

10. QUARTERLY PERFORMANCE SNAPSHOT

Last 5 Quarters — Consolidated (Rs. Crores, from Screener.in)

Metric	Dec-24	Mar-25	Sep-25	Dec-25	Mar-26 (Q4 FY26)
Revenue	26.19	30.14	28.48	37.36	40.65
Expenses	20.24	23.60	23.09	28.80	29.23

EBITDA	5.95	6.54	5.39	8.56	11.42
OPM %	22.72%	21.70%	18.93%	22.91%	28.09%
Other Income	0.00	0.00	0.94	0.39	0.38
Interest	0.06	0.10	0.08	0.04	0.13
Depreciation	0.40	0.43	0.45	0.76	0.74
PBT	5.49	6.01	5.80	8.15	10.93
Tax %	28.23%	25.29%	22.07%	25.40%	25.80%
PAT	3.94	4.49	4.52	6.08	8.11
EPS (Rs.)	2.46	2.81	2.08	2.80	3.73

Note: Sep-25 EPS dip vs Jun-25/Dec-25 reflects the typical Q2 seasonal softness in secondary steel demand (rainy season). Q4 FY26 is the strongest quarter on record.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (May 04, 2026)

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	**Beat — Q4 FY26 PAT +81% YoY; FY26 PAT +60% YoY**
Management tone	Bullish	**Highly transparent on unit economics; confident on FY27 Rs. 250-300 Cr**
Guidance delta	Raised	**Q1 FY27 guided Rs. 52-55 Cr vs Q4 FY26 actuals of Rs. 40.65 Cr**

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is the cleanest beat I have seen from this management — no exceptional items, no one-time adjustments: Rs. 40.65 Cr revenue (+35% YoY), Rs. 11.42 Cr EBITDA (+75% YoY, 28.1% margin), Rs. 8.11 Cr PAT (+81% YoY) all organic. The 28% EBITDA margin is above the stated 22-25% band and is explained by SGB Limited contribution scaling to 10-12% of volumes in the quarter — at Rs. 400-500/tonne premium over standard product. The full migration to 60%+ SGB Limited volumes in Q1 FY27 is the single most important operational catalyst: if it delivers, FY27 EBITDA margins could print above guidance at 25-26%. The bigger structural story is the Metalurgica Greenfield — 3,64,000 MTPA at Rs. 47.9 Cr total capex (fully funded by IPO proceeds, Rs. 23.7 Cr remaining to deploy) — expected operational by end-Q1 FY27 or early Q2. Management's Rs. 250-300 Cr FY27 revenue guidance is achievable only if Metalurgica ramps to ~50% utilisation within 6 months of commissioning; this is the key execution risk to monitor. The CCC ballooning to 268 days is management-intentional (additive inventory buffer) but represents Rs. 40-50 Cr locked up that the P&L; currently cannot absorb through internal accruals alone — watch Q1 FY27 balance sheet for any working-capital borrowings. HOLD existing positions; ACCUMULATE on any dip toward Rs. 640-680 before the Metalurgica commissioning announcement.

Section 1 — Financial Performance Snapshot (Q4 FY26 Consolidated)

- Revenue: Rs. 40.65 Cr | YoY +35% | QoQ +8.8% | BEAT (vs prior Q4 trend)
- EBITDA: Rs. 11.42 Cr | YoY +75% | OPM 28.09% vs 22.72% prior year | BEAT
- PAT: Rs. 8.11 Cr | YoY +81% | PAT margin 19.9% (record) | BEAT
- EPS: Rs. 3.73 | YoY vs Rs. 2.46 | QoQ vs Rs. 2.80 | BEAT
- NOTE: No exceptional/one-time items in Q4 FY26 — reported PAT is clean operating PAT.
- FY26 Full-Year: Revenue Rs. 135 Cr (+39% YoY), EBITDA Rs. 32 Cr (+52% YoY), PAT Rs. 23 Cr (+60% YoY), ROCE 46%, near-zero debt. All record highs.

Section 2 — Segment / Geography Breakdown

- SGB Limited (premium premix ramming mass): ~10-12% of Q4 FY26 volumes; expected 60%+ from Q1 FY27 onward. Higher realisation, margin-accretive.
- SGB 777 (standard premix): Bulk of current volume; expected to migrate to SGB Limited.
- SLM 980 (non-premix): Small fraction (~5-10% of volumes); lower ASP as no additive cost but lower gross margin. Slightly inflated volume share in Jan-Feb due to additive supply caution.
- Mineral India Global (MIGPL subsidiary): 72,000 MTPA plant; approvals for 25% capacity uplift imminent. FY27 revenue target: Rs. 55-60 Cr from this entity alone.
- Geography: 100% domestic; Eastern India concentration (Jharkhand, Chhattisgarh, Odisha, West Bengal, Bihar, MP).

Section 3 — Management Commentary Themes

- **Theme 1 — Greenfield as global #1:** "We are confident of becoming the largest manufacturer of ramming mass by late Q1 FY27 to early Q2 FY27." — Our read: This is aspirational but based on concrete capex deployed. If accurate, creates a defensible global-scale moat. Tag: GUIDANCE. Tone: Bullish.
- **Theme 2 — SGB Limited adoption:** 60%+ customer migration from SGB 777 expected from Q1 FY27. "SGB Limited has a minimum heat assurance scheme of 52-55 hours — first of its kind with warranty in the segment." — Our read: This is the single most important margin driver. Tag: GUIDANCE. Tone: Bullish.
- **Theme 3 — Realization discipline:** Average blended ASP Rs. 7,900-8,200/tonne in FY26 (FOR basis, freight inclusive). Management clarified non-premix product (SLM 980) at Rs. 6,500/tonne dragged blended number; pure premix ASP actually rose Rs. 400 YoY. — Our read: Positive, but non-premix mix needs monitoring. Tag: EST. Tone: Transparent.
- **Theme 4 — Inventory strategy:** 2-3 month additive buffer maintained deliberately vs geopolitical risk (boron from Europe, boric acid from Middle East). "Until war situation is there, inventory will be essential part of our story." — Our read: Justified but creates CCC headwind; management aware. Tag: GUIDANCE. Tone: Transparent.
- **Theme 5 — Future silica product diversification:** "We have identified three-four segments where our earlier expertise can be helpful." Details deferred to AGM. — Our read: Optionality, not near-term catalyst. Evasive on specifics. Tag: EST. Tone: Evasive on detail.

Section 4 — Operating & Business Metrics

- Capacity utilisation: 81.5% of 2,10,000 MTPA consolidated (FY26) | Trend: Improving
- Implied volumes FY26: ~1,71,000 MT consolidated | vs ~1,00,000-1,10,000 MT FY25 (est) | Trend: Strong growth
- Average blended realisation: Rs. 7,900/MT (FY26) | Prior year Rs. 8,125/MT (per analyst calc) | Management notes non-premix mix effect
- MIGPL capacity: 57,600 MTPA current -> 72,000 MTPA post approval (15 days) | Utilisation target: 90-95%
- Metalurgica Greenfield capacity: ~3,64,000 MTPA additional | Expected commissioning: late Q1 or early Q2 FY27
- Total group capacity post-Metalurgica: 5,74,000 MTPA | Peak revenue potential: Rs. 450-500 Cr (at 80-85% utilisation, Rs. 8.2/kg)

Section 5 — Margin Drivers

- SGB Limited mix (+): ~10-12% Q4 FY26 volume at Rs. 400-500/tonne premium; target 60% from Q1 FY27 | Est. impact: +150-200 bps to OPM | Recurring: Yes (once migration done)
- Operating leverage (+): Fixed costs (guard, staff) largely stable as volumes grow; indirect expenses as % of revenue compresses | Recurring: Yes, structural
- Raw material accounting (neutral): Stone landed price Rs. 2,500-3,200/tonne; flip between FOR and Ex-plant procurement can shift RM cost to/from indirect expenses by Rs. 2-3 Cr per quarter without changing P&L; total | Recurring: Non-distorting
- Seasonal softness Q2 (-): Q2 EBITDA margin historically ~18-19% vs Q4 at 28%; rainy season dampens secondary steel demand | Recurring: Yes, annual pattern
- IPO-funded brownfield line replacement (+): Labor cost per tonne declining due to automation from IPO capex; "In Q4 FY26, reduction in consumables and labor cost" | Recurring: Yes, permanent efficiency

Section 6 — Guidance & Forward Signals

- Q1 FY27 Revenue [GUIDANCE]: Prior Q4 FY26 = Rs. 40.65 Cr | New = Rs. 52-55 Cr | Delta = raised +28-35% QoQ | Credibility: High (consistent with historical outperformance)
- FY27 Revenue [GUIDANCE]: Prior = Rs. 130-140 Cr (implicit) | New = Rs. 250-300 Cr | Delta = raised 85-120% | Credibility: Medium-High — contingent on Metalurgica commissioning
- FY27 EBITDA Margin [GUIDANCE]: Prior = 22-25% | New = 22-25% (maintained) | Credibility: High — trend is above the top end; management guides conservatively

• MIGPL FY27 Revenue [GUIDANCE]: Rs. 55-60 Cr (90-95% utilisation of 72,000 MTPA post approval) | Credibility: High — statutory approvals in 15 days

• FY27 Capex [GUIDANCE]: No new debt planned; balance Rs. 23.7 Cr from IPO to be deployed in Q1 FY27 for Metalurgica | Credibility: High

• FY27 Working Capital [GUIDANCE]: Rs. 30-35 Cr target OCF | Credibility: Medium — depends on inventory normalisation

Section 7 — Capital Allocation

• Total IPO capex allocated: Rs. 47.90 Cr | Deployed FY26: Rs. 24.16 Cr | Remaining: Rs. 23.74 Cr (to be deployed Q1 FY27)

• Greenfield land (Metalurgica campus): ~13.5 acres; expanding to 17-18 acres; incremental land cost Rs. 2-3 Cr (Rs. 30-40 lakh per acre)

• Dividends: Rs. 0 | FY25: Rs. 0 | Policy: Retain all earnings for growth reinvestment

• Buybacks: None | ESPOs: None | Pledging: 0%

• Net Cash Flow FY26: Rs. 22 Cr positive (largely IPO proceeds inflow via financing + operating)

• Free Cash Flow FY26: Rs. -10 Cr (capex-heavy; fully funded via IPO)

Section 8 — Q&A; Heat Map

• Kushal Kasliwal (InVed Research): Q: "Land cost and silica product strategy for Greenfield campus?" -> A: Rs. 2-3 Cr for land expansion to 18-20 acres; product strategy details deferred to AGM. | Tone: Transparent on land, Evasive on products

• Swaraj Mehta (Perpetual Capital): Q: "Why did Q4 realization drop to Rs. 6.7/kg?" -> A: No drop; blended ASP rose to Rs. 8.2; non-premix (SLM 980) pulled blended number down in analyst calculation. | Tone: Transparent; good clarification

• Utkarsh Somaiya (Eiko Quantum): Q: "Peak revenue at 5,76,000 MTPA capacity, FY28 target?" -> A: Rs. 450-500 Cr peak (80-85% util x Rs. 8.2/kg); FY27 = Rs. 250-300 Cr. | Tone: Bullish; credible math

• Vinayak Khosla: Q: "Market share strategy — going from 8% to 25%?" -> A: Market growing to Rs. 2,000-2,100 Cr; steel demand supports 8% CAGR; not taking share, growing with market. | Tone: Balanced; realistic

• Naman Desai: Q: "Technology differentiation vs peers?" -> A: Best-in-class machinery from Metso, Steinmuller (Finland); will showcase at AGM plant inauguration. | Tone: Hedged on specifics

• Sarthak Jain: Q: "FY26 blended volume and realization reconciliation?" -> A: ~1,71,000 MT at Rs. 7,900-8,200 blended; non-premix share slightly elevated in Jan-Feb. | Tone: Transparent

• Dodged / watch-list questions for next quarter: (i) Specific quantification of RPTs with Mineral Group entities; (ii) Detailed silica product pipeline; (iii) Whether any working-capital debt will be needed in Q1 FY27 before OCF builds.

Section 9 — Risks Flagged

• Greenfield commissioning timeline: Dependency on statutory approvals, machinery delivery from Europe suppliers (Metso, Steinmuller) | Flagged by: mgmt | Probability: M | Impact: H | Timeline: Near-term (Q1-Q2 FY27)

• Additive supply chain: Boron oxide (EU), boric acid (Middle East) — geopolitical risk explicitly acknowledged; 2-3 month buffer maintained | Flagged by: mgmt | Probability: M | Impact: H | Timeline: Near to medium-term

• Inventory / working capital intensity: CCC at 268 days; inventory will remain elevated until geopolitical uncertainty eases | Flagged by: analyst | Probability: H | Impact: M | Timeline: Ongoing FY27

• Non-premix (SLM 980) volume dilution: If SGB Limited migration slower than guided, blended margin drags | Flagged by: analyst | Probability: L-M | Impact: M | Timeline: Q1-Q2 FY27

• Competition — unorganised exits may take longer: "Small players would have to take exit route, that is the view" — aspirational, not guaranteed | Flagged by: mgmt | Probability: L | Impact: L-M | Timeline: Medium-term

Section 10 — Analyst Verdict

- Revenue visibility: Intact — Q1 FY27 guidance of Rs. 52-55 Cr is 28-35% QoQ step-up; MIGPL revenues adding from approved capacity; Metalurgica is the H2 catalyst
- Margin trajectory: Intact — SGB Limited migration structurally lifts floor; 28.1% Q4 OPM is above-band but directionally correct; Q2 seasonal dip is a known risk
- Capital allocation quality: Intact — IPO proceeds deployed as committed, zero debt, no dilution, Greenfield fully funded; AGM will clarify next-leg capex
- Competitive moat: Intact (and strengthening) — SGB Limited warranty product is unique in segment; scale from Metalurgica will reinforce cost leadership
- Management credibility: Intact — guided conservatively, delivered ahead; transparent on unit economics; evasive only on early-stage strategic options (reasonable)
- Valuation comfort: Weakened — at CMP of Rs. 689 and 65x TTM P/E, execution risk is fully priced. Comfort returns at Rs. 640-650 on FY27 ramp visibility
- Conviction call: Increased — strongest quarterly performance in company history with clean earnings, no one-times, and raised guidance
- Valuation snapshot: P/E = 65.0x (no long-term avg for SME) | EV/EBITDA ~47x (FY26) | ROCE = 35% (FY26) — high growth justifies premium but execution must be flawless

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